

Table 16.6

| <i>Fund Expenses</i>              |                |                |                |                |                |                |                |
|-----------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| <i>Janus Global Research Fund</i> |                |                |                |                |                |                |                |
|                                   | <i>Class A</i> | <i>Class C</i> | <i>Class S</i> | <i>Class I</i> | <i>Class N</i> | <i>Class R</i> | <i>Class T</i> |
| Front Load                        | 5.75%          |                |                |                |                |                |                |
| Back Load                         |                | 1.00%          |                |                |                |                |                |
| Management Fees                   | 0.74%          | 0.74%          | 0.74%          | 0.74%          | 0.74%          |                | 0.74%          |
| Distribution/Service (12b-1) Fees | 0.25%          | 1.00%          | 0.25%          |                |                |                |                |
| Other Expenses                    | 0.23%          | 0.32%          | 0.39%          | 0.23%          | 0.13%          |                | 0.38%          |
| Total Annual Operating Expenses   | 1.22%          | 2.06%          | 1.38%          | 0.97%          | 0.87%          |                | 1.12%          |
| <i>Janus Worldwide Fund</i>       |                |                |                |                |                |                |                |
|                                   | <i>Class A</i> | <i>Class C</i> | <i>Class S</i> | <i>Class I</i> | <i>Class N</i> | <i>Class R</i> | <i>Class T</i> |
| Front Load                        | 5.75%          |                |                |                |                |                |                |
| Back Load                         |                | 1.00%          |                |                |                |                |                |
| Management Fees                   | 0.59%          | 0.59%          | 0.59%          | 0.59%          | 0.59%          | 0.59%          | 0.59%          |
| Distribution/Service (12b-1) Fees | 0.25%          | 1.00%          | 0.25%          |                |                | 0.50%          |                |
| Other Expenses                    | 0.24%          | 0.28%          | 0.33%          | 0.23%          | 0.08%          | 0.33%          | 0.33%          |
| Total Annual Operating Expenses   | 1.08%          | 1.87%          | 1.17%          | 0.82%          | 0.67%          | 1.42%          | 0.92%          |

The **12(b)-1 fee** gets its name from the section of the 40-Act that allows mutual funds to (continually) pay distribution and marketing expenses out of the fund's assets, rather than out of (one-time) loads. 12(b)-1 fees were introduced in 1980. In 2010, investors paid \$10.6 billion in 12(b)-1 fees, of which 40% went to financial advisors, brokers, and other financial professionals like retirement plan record keepers and discount brokerage firms. These financial intermediaries are involved in marketing, distribution, and administering the funds. Shareholder services account for 52% of the 12(b)-1 fees, which includes maintaining shareholder websites, call centers, and so on.<sup>38</sup> (One would think expenses like this would be paid out of the management fee or administration fees.) The remainder was spent on fund underwriting and advertising.

<sup>38</sup> Numbers are from ICI's 2011 Investment Company Factbook. Interestingly, ICI's 2012 version omits this information.